Final Term Spring 2009
MGT610- Business Ethics

Question No: 1 (Marks: 1) - Please choose one
The modern corporations consist of _____.

- None of the given
- Stock holders, Employees, Customers
- **Stock holders, Employees, Directors**
- Directors, Managers, Customers

Question No: 2 (Marks: 1) - Please choose one
Which one of the following is NOT the criterion employed by different ethicists to evaluate moral reasoning?

- Moral reasoning must be logical
- Factual evidence must be accurate, relevant, and complete
- Moral standards must be consistent
- **Moral development must be ethical**

Question No: 3 (Marks: 1) - Please choose one
Mujeeb and Imran are defendants charged by the government for insider trading.
According to the prisoner's dilemma scenario what will result in the worst outcome for Mujeeb?

- Mujeeb confesses and Imran does not.
- Both Mujeeb and Imran confess.
- Both Mujeeb and Imran stay silent.
- **Mujeeb doesn't confess and Imran does.**

Question No: 4 (Marks: 1) - Please choose one
Who is the supporter of Categorical Imperative?

- **Kant**
- Sidgwick
- Bentham
- Mill

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Question No: 5 (Marks: 1) - Please choose one
If Sameer destroy Sajjid s property or injure him bodily, Sameer will be held morally responsible for paying him damages. This is an example of:

- Redistributive justice
- **Compensatory justice**
- Distributive justice
- Socialist s justice

Question No: 6 (Marks: 1) - Please choose one
Suppose a female manager supervises 10 people and one of them is a friend of hers. One day she catches her friend stealing from the company. Should she turn in her friend as company policy requires or should she say nothing to protect her friend? This is an example of?

- Demands of caring
- Demand of justice
- **Conflict between caring and justice**
- None of the given options

Question No: 7 (Marks: 1) - Please choose one
Which one of the following moral judgment approaches will be used when someone S actions and policies will substantially affect the welfare and freedom of specifiable individuals?

- Utility
- **Rights**
- Justice
- Caring

Question No: 8 (Marks: 1) - Please choose one
In which system slavery would be entirely legal?

- Free market system
- Command economy system
- Voluntary exchange system
- **Pure free market system**

Question No: 9 (Marks: 1) - Please choose one
Who has defended free markets on the basis of utilitarian argument?

- Friedrich A. Hayek
- Alasdair MacIntyre
- Adam smith
- John Locke

Question No: 10 (Marks: 1) - Please choose one
Which of the following is an economic system in which the means of production are privately owned and operated for a profit?

- Communism
- **Capitalism**
- Liberalism
- Socialism

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Question No: 11 (Marks: 1) - Please choose one
Which of the following economist has the harshest and most influential critics of the inequalities that private property institutions and free markets accused of creating?

- John Maynard Keynes
- **Karl Marx (51p)**
- Adam Smith
- David Ricardo

Question No: 12 (Marks: 1) - Please choose one
Which of the following is NOT a moral outcome of perfectly competitive markets?

- Justice
- Utility
- Rights
- **Faith**

Question No: 13 (Marks: 1) - Please choose one
Chicken Delight is chain of food stores whose major product is chicken. Chicken Delight would sell a franchise license to a person only if the person also agreed to purchase a certain number of cookers, fryers, and other suppliers. This is an example of:

- **Tying arrangement (63p)**
- Exclusive dealing arrangement
- Retail price maintenance agreement
- Manipulation of supply

Question No: 14 (Marks: 1) - Please choose one
Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution(66p)**
- Acid rain
- Airborne toxic

Question No: 15 (Marks: 1) - Please choose one
Which of the public policy view advocate breaking large firms up into smaller units?

- The Chicago school view
- The do-nothing view
- **The anti-trust view (65p)**

- The regulation view

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the discipline that studies the moral relationship of human beings to, and also the value and moral status of, the environment and its non-human contents?

- **Environmental ethics(68p)**
- Business ethics
- Moral ethics
- Social ethics

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a cost that manufacturers don t bear?

- Private cost
- **Social cost (95p)**
- Product cost
- None of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is not based on the idea that the environment should be protected for the sake of human beings?

- Environmental ethic
- **Ecological ethic(78p)**
- Blackstone s ethic
- Utilitarian ethic

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Question No: 19 (Marks: 1) - Please choose one

Which one of the following is the principal Utilitarian remedy for pollution?

- **To internalize the external costs of production (81p)**
- To externalize the internal costs of production
- To minimize the total social cost of production
- To maximize the total social cost of production

Question No: 20 (Marks: 1) - Please choose one

Which of the following seems to be consistent with the utilitarian way of dealing with pollution (i.e. by internalizing costs)?

- Rights
- **Justice(81p)**
- Both rights and justice
- None of the given options

Question No: 21 (Marks: 1) - Please choose one

Who summarized the procedure for cost and benefit analysis?

- Adam Smith
- **Thomas Klein(83p)**
- John Rawls
- Samuel Johnson

Question No: 22 (Marks: 1) - Please choose one

Which of the following discipline argued that to solve our ecological problems, we must first change the destructive modes of thinking?

- Ecological ethic
- Social ecology
- **Social audit(83p)**
- Eco-feminism

Question No: 23 (Marks: 1) - Please choose one

Which of the following describes provides a new model with some tools for navigating the deep and often confusing relationship between client and caregiver and for preventing the harmful consequences of ethical misconduct?

- Ecological ethic
- **Social ecology**

- Ethic of caring
- Eco-feminism

Question No: 24 (Marks: 1) - Please choose one
Which of the following is the only way of ensuring a supply for tomorrow s generations?

- **Conservation(87p)**
- Reservation
- Preservation
- None of the given options

Question No: 25 (Marks: 1) - Please choose one
Which of the following statements could NOT be made by a believer in ecological ethics?

- **The world must be protected for the sake of human beings**
- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one
Which of the following is based on the idea that nonhuman parts of the environment deserve to be preserved for their own sake?

- Environmental ethic
- **Deep ecology(78p)**
- Blackstone s ethic
- Utilitarian ethic

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Question No: 27 (Marks: 1) - Please choose one
Which of the following theory assumes that the manufacturer can discover the entire risk associated with using a product before it is actually used?

- The liability theory
- **The due care theory(105p)**
- The contractual theory
- The social cost theory

Question No: 28 (Marks: 1) - Please choose one
Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- **Advertising is wasteful(108p)**
- Advertising promotes monopolies

Question No: 29 (Marks: 1) - Please choose one
All of the following are deceptive or manipulative marketing practices, EXCEPT:

- Multiple pricing (not sure)
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 30 (Marks: 1) - Please choose one
How many people died each year in America by lighter explosions?

- 100
- 200
- 300
- 400 (not sure)

Question No: 31 (Marks: 1) - Please choose one
Which of the following is the degree of risk associated with using a product?

- Reliability
- Service life
- Maintainability
- **Product safety(18p)**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is one of the areas of producer responsibility according to due care theory?

- ❖ **Duty to produce healthy products(not sure)**
- ❖ Duty to disclosure
- ❖ Duty not to coerce
- ❖ Duty not to misrepresent

Question No: 33 (Marks: 1) - Please choose one

Which of the following is the only way of indicating whether a process is fair or discriminatory?

- ❖ **See what happens to minorities as a group(138p)**
- ❖ See what happens to minorities only
- ❖ See what happens to a group only
- ❖ See what happens to majority only

Question No: 34 (Marks: 1) - Please choose one

Which of the following is NOT a statement which presents the firm s view on ethics?

- ❖ Value statement
- ❖ Morality(not sure)
- ❖ Ethical philosophy
- ❖ Code of ethics

Question No: 35 (Marks: 1) - Please choose one

A bakery advertises that its latest product can lower cholesterol even though the bakery cannot prove this claim. This situation involves an ethical issue related to which element of the marketing mix?

- ❖ **Product**
- ❖ Price
- ❖ Promotion
- ❖ Distribution

Question No: 36 (Marks: 1) - Please choose one

Which of the following books was written by John Kenneth Galbraith?

- ❖ **The Affluent Society(122p)**
- ❖ The Road of Serfdom
- ❖ The Wealth of Nations
- ❖ The Prisoner s Dilemma

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Question No: 37 (Marks: 1) - Please choose one

Who argued that advertising is manipulative: it is the creation of desires in consumers for the sole purpose of absorbing industrial output?

- ❖ Nicholas Kaldor
- ❖ Kotler
- ❖ **K. Galbraith(120p)**
- ❖ Hayek

Question No: 38 (Marks: 1) - Please choose one

Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

- ❖ **Investment in men(120p)**
- ❖ Investment in women
- ❖ Investment in children
- ❖ Investment in non-humans

Question No: 39 (Marks: 1) - Please choose one

Which of the following attributes translates the statement Marketers should not exploit the credulity, lack of knowledge or inexperience of consumers ?

- ❖ Safety
- ❖ Legality
- ❖ **Honesty(131p)**
- ❖ Truthfulness

Question No: 40 (Marks: 1) - Please choose one

Which of the following is a wrongful act of distinguishing illicitly among people not on the basis of

individual merit, but on the basis of prejudice or some other invidious or morally reprehensible attitude?

- **Discrimination(137p)**
- Job discrimination
- Affirmative action
- Discriminatory practice

Question No: 41 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements? P

- Provide unbiased information
- **Sell products to prospective buyers(108p)**
- Provide biased information
- None of the given options

Question No: 42 (Marks: 1) - Please choose one

Which of the following makes freedom of choice impossible?

- Information
- Probability
- **Misrepresentation(102p)**
- Ignorance

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Final term Fall 2008

MGT610- Business Ethics (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

The _____ refers to the potential conflict between management and shareholders due to management's control of financial rewards as well as the possibility of incompetent performance by managers.

- Agency problem
- Liquidity problem
- Regulatory problem
- Diversification problem

Question No: 2 (Marks: 1) - Please choose one

A shift to judgments based on rules or norms of a group to which the individual belongs is characteristic of which level of moral development?

- Post-formal
- Pre-conventional
- Conventional
- **Post-conventional (10p)**

Question No: 3 (Marks: 1) - Please choose one

Commodities that are considered valuable only because they good things are called:

- Instrumental goods
- Instrumental values
- **Intrinsic goods(21p)** (Intrinsic goods are things that are desired for their own sake, such as health and life)
- Intrinsic values

Question No: 4 (Marks: 1) - Please choose one

The desire for a good or a service best represents:

- Need
- Want
- Desire
- None of the given

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Question No: 5 (Marks: 1) - Please choose one

Which of the following choices does NOT describe a situation that is covered by the concept of rights?

- The absence of prohibitions against an activity
- The authorization to do something to secure one's interests
- **The necessity of doing something required by lead to other authority(23p)**
- The existence of prohibitions on others to enable individuals to pursue an activity

Question No: 6 (Marks: 1) - Please choose one
Which of the following holds that all public offices and employment should be made available to everyone?

- The principle of equal liberty
- The difference principle
- **The principle of equal opportunity(34p)**
- The principles of ethics

Question No: 7 (Marks: 1) - Please choose one
Which of the following is FALSE of Nozick s theory of justice?

- **Theory is redistributive(33p)**
- None of the above options
- Theory is historical
- Theory is no patterned

Question No: 8 (Marks: 1) - Please choose one
Which of the following does NOT describe virtue ?

- The traits that everyone needs for a good life
- An excellence that is admired in a person
- **A disposition to act in multidimensional way(39p)**
- A specific state of character

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Question No: 9 (Marks: 1) - Please choose one
Who presented the theory of absolute advantage?

- **Adam Smith(46p)**
- Friedrich A. Hike
- Murray Roth bard
- Eric Mack

Question No: 10 (Marks: 1) - Please choose one
John Maynard Keynes argues that the aggregate demand for goods and services is the sum of the demand of which of the following factor(s)?

- Households
- Businesses
- Government
- **All of the given options(50p)**

Question No: 11 (Marks: 1) - Please choose one
Which of the following is the price that just covers the costs of producing the commodity including the going rate of profit obtainable in other markets?

- **Natural price(50p)**
- Selling price
- Price flexibility
- Market price

Question No: 12 (Marks: 1) - Please choose one
Which of the following rights is embodied by perfectly competitive free markets?

- **Negative right of freedom from coercion(59p)**
- Positive right of freedom from coercion
- Moral right of freedom from coercion
- Ethical right of freedom from coercion

Question No: 13 (Marks: 1) - Please choose one
Which of the following refers to the undesirable and unintended contamination of the environment by the manufacture or use of commodities?

- Toxic substance
- **Pollution**
- Acid rain
- Airborne toxic

Question No: 14 (Marks: 1) - Please choose one
Which of the following is a public policy view that holds that large firms should not be broken up into smaller units

but subjected to substantial governmental restraint and controls?

- The Chicago school view
- The do-nothing view
- The anti-trust view
- **The regulation view(66p)**

Question No: 15 (Marks: 1) - Please choose one

Which of the following public policy view claims that the power of oligopolies is not as large as it appears?

- The Chicago school view
- **The do-nothing view(65p)**
- The anti-trust view
- The regulation view

Question No: 16 (Marks: 1) - Please choose one

How many people in the world don t have access to safe water?

- **1 billion(73p)**
- 1.5billion
- 2 billion
- 2.5 billion

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Question No: 17 (Marks: 1) - Please choose one

If a firm makes basic goods (food product, clothing) for which the poor must allocate a larger proportion of their budgets than the affluent. In this case which of the following may place a heavier burden on the poor?

- Social costs
- **Internalizing costs(81p)**
- Product costs
- External costs

Question No: 18 (Marks: 1) - Please choose one

Which of the following requires that those who have been injured should be compensated by those who injure them?

- Rights
- Utilitarian
- Redistributive justice
- **Compensatory justice**

Question No: 19 (Marks: 1) - Please choose one

Which of the following explains the bearing of external costs of pollution largely by those who do not enjoy a net benefit from the activity that produces the pollution?

- Ecological ethic
- Social ecology
- **Environmental injustice(82p)**
- Eco-feminism

Question No: 20 (Marks: 1) - Please choose one

Who argued that there is a fundamental human right to a livable environment?

- **William Blackstone(79p)**
- Carol Gilligan
- Robert Nozzick
- John Locke

Question No: 21 (Marks: 1) - Please choose one

Which of the following describes the saving or rationing natural resources for future use?

- Consumption
- **Conservation(87p)**
- Reservation
- Destruction

Question No: 22 (Marks: 1) - Please choose one

Critics to the market approach respond that the benefits of free markets are obtained only when the markets have all of the following characteristics, EXCEPT:

- There are numerous buyers and sellers

- There are external costs(97p)
- Everyone can freely enter and exit the market
- Everyone has complete and accurate information

Question No: 23 (Marks: 1) - Please choose one

Which of the following is NOT a problem with the assumption of rational utility maximization?

- Few people are good at estimating probabilities(97p)
- People are generally irrational and inconsistent when weighing the choices
- Many consumer markets are monopolies or oligopolies
- Utility maximizer has a well-defined and consistent set of preferences

Question No: 24 (Marks: 1) - Please choose one

Our probability judgments go astray for a number of reasons, including all EXCEPT:

- People believe that they exert control over purely chance events
- Generalizations are made on the basis of small sample findings
- Emphasis on "causation" results in the under weighing of evidence that is relevant
- We forget to take the "law of averages" into account(97p)

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements could NOT be made by a believer in ecological ethics?

- The world must be protected for the sake of human beings(78p)
- The well-being of all the life on earth has value in itself
- Humans have no right to reduce the diversity of life except to satisfy vital needs
- Appreciate the quality of life rather than striving for a higher standard of living

Question No: 26 (Marks: 1) - Please choose one

Which of the following statements is TRUE of the beliefs of deep ecology?

- It is our moral duty to protect the human beings
- Non human parts of the environment deserve to be preserved for their own sake(78p)
- Only human parts of the environment deserve to be respected
- The world must be protected for the sake of human beings

Question No: 27 (Marks: 1) - Please choose one

According to critics of marker approach, how many characteristics market will have to obtain the benefits of free market?

- 7(97p)
- 5
- 4
- 3

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Question No: 28 (Marks: 1) - Please choose one

Which of the following is the view that describes the relationship between a firm and its customers where the firm's moral duties to the customer are those created by this contract?

- Contract view of business duties(101p)
- The duty of disclosure
- The due care theory
- None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the main objection against the assumptions of contractual theory?

- Unrealistic(103p)
- Impractical
- Concentrated on sellers only
- Concentrated on buyers only

Question No: 30 (Marks: 1) - Please choose one

Which of the following is NOT a valid criticism on the ethics of advertising?

- Advertising uses images that many find vulgar and offensive
- Advertising debases the tastes of consumers
- Advertising is wasteful
- Advertising promotes monopolies

Question No: 31 (Marks: 1) - Please choose one

Deception involves all the following conditions necessary to be possessed by the author of an ad, EXCEPT:

- The author must know it to be false
- The author must knowingly do something to bring about this false belief
- **The author must know it to be true(109p)**
- The author must intend to have the audience believe something false

Question No: 32 (Marks: 1) - Please choose one

All of the following are deceptive or manipulative marketing practices, EXCEPT:

- Multiple pricing
- Bait and switch selling
- Markdowns from a suggested retail price that is never charged
- Everyone can freely enter and exit the market

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a situation where demand always exceeds supply?

- None of the given options
- **Monopoly(98p)**
- Perfect competition
- Free market

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Question No: 34 (Marks: 1) - Please choose one

Which of the following define that someone has a well defined and consistent set of preferences, and who knows how personal choices will affect those preferences?

- Utility maximization
- **Rational utility maximizer(97p)**
- Manufacturers utility
- None of the given options

Question No: 35 (Marks: 1) - Please choose one

Which of the following is the period of time during which the product will function as effectively as the consumer is to lead to expect it to function?

- Reliability
- Service life
- Maintainability
- **Product safety**

Question No: 36 (Marks: 1) - Please choose one

Which of the following describes the ease with which the product can be repaired and kept in operating condition?

- Reliability
- Service life
- **Maintainability**
- Product safety

Question No: 37 (Marks: 1) - Please choose one

Which of the following is NOT a benefit of having a code of ethics?

- **Supplier loyalty increases**
- Managers get more confident
- Competitive positions improve
- Employee loyalty increases

Question No: 38 (Marks: 1) - Please choose one

Which of the following is a legal doctrine that holds that manufacturers must bear the costs of injuries resulting from product defects regardless of fault?

- Manufacturer s liability
- Consumer s liability
- **Strict liability(106p)**
- Product liability

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Question No: 39 (Marks: 1) - Please choose one

Marketing ethic refers to which of the following?

- Improper behavior in marketing
- Acceptable conduct in society

- Improper behavior in business
- **Acceptable conduct in marketing**

Question No: 40 (Marks: 1) - Please choose one

Which of the following is the result of effective advertising campaigns on consumers, which gives large corporations control over a major portion of the market?

- **Brand loyalty**
- Consumer protection
- Reliability
- None of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is a proposed program where a large scale publicly funded education program aimed at empowering ordinary citizens?

- **Investment in men**
- Investment in women
- Investment in children
- Investment in non-humans

Question No: 42 (Marks: 1) - Please choose one

Which of the following is the primary function of commercial advertisements?

- Provide unbiased information
- **Sell products to prospective buyers**
- Provide biased information
- None of the given options

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